good, too. If you own the stock in a bull market and it double tops, you might want to sell or not, depending on the circumstances. Sometimes it may pay to weather a small decline after a double top, especially if the general market and others in the industry are soaring.

Tour

Along with the head-and-shoulders pattern, double tops are perhaps the most popular. Many novice investors see a dual peak on the stock chart and proclaim it to be a double top. However, there are a number of characteristics that compose a true double top, and I will discuss them in a moment, but first, what does an Adam & Eve double top look like?

Consider **Figure 31.1**, a double top in ElkCorp. The first thing one notices is the twin peaks. They should top out near the same price and be widely spaced. The price trend leading to the first peak is upward, and price falls away after the second peak. Thus, the double top is a topping pattern and not a bottom.

The intervening valley is just that: a valley that sees price decline by varying amounts (a median of 10%. I measured this). The valley floor forms the confirmation line or price. A twin-peak formation becomes a true double top once price closes below the confirmation price, signaling a downward breakout.

Sometimes a pullback occurs such as that shown in the figure. A pullback allows investors another opportunity to exit their position before the decline resumes (but not in this example, of course, because price climbed). For more aggressive traders, the pullback is a chance to make a short sale in the hope that price will continue falling.